

TITLECHAIN CER, UCC ARTICLE 12 AND ARTICLE 9 RIGHTS SCHEDULE

Separation of land title, contractual rights, controllable electronic records, secured transactions and securities

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Human-controlled clean draft • counsel / institutional review as applicable

1. Core Rule

A digital record may evidence or control defined electronic rights without becoming the deed or automatically becoming the underlying real property. M5Canon therefore separates each legal/economic layer into a distinct state object.

Layer	Authoritative Instrument / Rule	What TitleChain Records	What It Does NOT Do
Fee title	Federal deed/conveyance + applicable public land records	Titleholder, deed reference, restrictions, recording status	A token/CER does not substitute for the deed.
Historic/public restrictions	Federal deed, NPS approvals, public-owner obligations	Covenants, reversion/public-use conditions, approval dependencies	Cannot be waived by wallet transfer.
Leasehold / operating rights	Executed master lease and amendments	Term, parties, permitted rights, restrictions, assignment rules	Cannot exceed the signed lease.
CER	California/UCC Division 12 plus governing agreement and qualifying electronic record	Controller, control criteria, linked rights record, transfers of CER control	Does not automatically establish ownership of underlying land or lease beyond governing law/instrument.
Article 9 security interest	Security agreement + applicable UCC perfection/priority rules	Collateral/right class, secured party, filing/reference, priority evidence	UCC-1 does not create a security interest by itself.
Security / investor interest	Issuer governing documents + securities laws + official securityholder record	Issuer, security class, restrictions, transfer state, transfer-agent references	Does not equal fee title to public land.

2. CER Control Requirements

- Before a record is labeled a CER, counsel/transaction documents should identify the qualifying electronic record and the statutory basis for control.
- Control evidence should show the person/entity that can avail itself of substantially all benefits of the electronic record, prevent others from doing so, and transfer control where applicable.
- The CER record must state the underlying legal instrument it evidences and expressly disclose that underlying property rights are governed by that instrument and applicable law.
- A change in CER controller does not automatically transfer a lease, deed or regulated security unless the governing legal instrument makes that change legally effective.

3. UCC-1 / Article 9 Guardrail

California Secretary of State guidance describes UCC-1 as a financing statement filed to perfect a security interest in named collateral and establish priority. M5Canon therefore prohibits using UCC-1 as a generic asset-title or entity-registration record. Any UCC filing referenced by the project must identify the actual secured transaction, debtor, secured party, collateral description and filing jurisdiction supported by definitive documents.

4. Leasehold Rights State Fields

- executed lease ID and version
- lessor/public owner
- lessee/operator
- effective date and actual term
- renewal/extension rights
- assignment/consent conditions
- historic/public-use restrictions
- capital/maintenance obligations
- default/cure provisions
- authoritative amendments
- CER linkage if any
- security-interest linkage if any

5. Rights Transfer Gate

No digital transfer changes legal rights unless the governing instrument, applicable law and required consents/recordings make the transfer effective. M5Canon may prepare and validate the package but final state remains PENDING until authoritative completion evidence is received.

Selected Authoritative References

- California Commercial Code Division 12 — Controllable Electronic Records.
- California Secretary of State — UCC Financing Statement guidance.
- National Park Service — Historic Surplus Property Program.